TOING: SWIGGY'S ₹99 PROBLEM

A Board recommendation from Swiggy's internal strategy team on the ₹99 meals app

Keep Toing but stop paying for ₹99 trips: rebuild it around pooled Drops and slot batching, and grow it only where the trip pays for itself

A ₹99 order loses ₹27.3 today because a ₹40 trip sits on ₹23 of revenue. The rebuild reaches +₹5.7 an order and is worth ₹1,745 Cr over three years against scaling Toing as it runs.

TEAM IDEAFORGE

Team Members	Institution	Role
Harsh Kawatra	Delhi Technological University	Team Leader
Gursimran Kaur	Guru Gobind Singh Indraprastha University	Member
Dayita Arora	Ramjas College, University of Delhi	Member

THE ARITHMETIC IN FIVE LINES

₹116

is what a Toing customer pays for a ₹99 meal, after GST and a ₹12 fee

₹23

is what Swiggy keeps, against a ₹40 rider trip

−₹27.3

contribution per order today; a ₹700 order earns ₹22 of EBITDA

3.3 meals

per Drop run is where a ₹99 order stops losing money

+₹5.7

blended per order once seven levers are on

Swiggy logo

NSUT FES logo

Source: NSBC case document (C01 to C14) | Swiggy Q1 FY27 shareholder letter | Team IdeaForge model and research document (appendix)

EXECUTIVE SUMMARY: ONE CALL ON TOING

Keep Toing but stop paying for ₹99 trips: rebuild it around pooled Drops and slot batching, and grow it only where the trip pays for itself

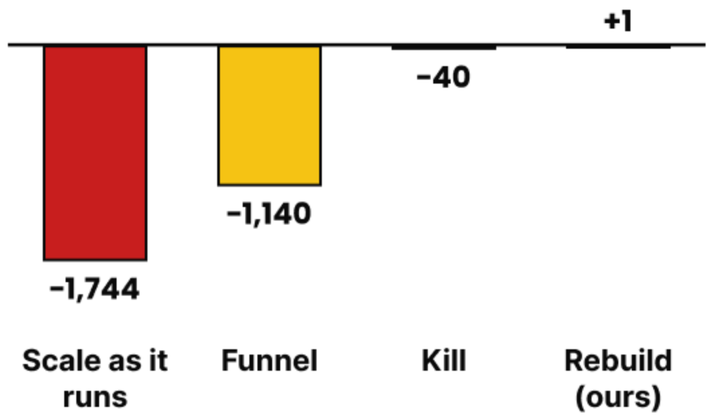
THE THREE OPTIONS, AS WRITTEN

SCALE Loses **−₹1,744 Cr over three years** at today's trip cost; each ₹99 order erases the EBITDA of 1.3 ₹700 orders

FUNNEL Beats paid marketing only if **135% of users** migrate within 12 months; at a likely 15% it costs 9.0x paid CAC

KILL Stops the burn at −₹40 Cr but ends at zero and hands 2.4 lakh orders a day to Rapido Ownly and Zomato

3-YEAR RESULT BY PATH, ₹ CR (BASE)



OUR CALL: FIX THE TRIP, NOT THE PRICE

1. **Per order: −₹27.3 today, +₹5.7 rebuilt**; a Drop run of 10 meals earns +₹7.2 a meal
2. **Keeps the customer:** 2 in 3 new Toing users were new to Swiggy or dormant, and a separate app fences the ₹700 core
3. **Fast and reversible:** 3 of 7 levers are Swiggy's own switches, live in 30 days; a 6-month gate falls back to a clean shutdown

WHERE TOING'S LOSS COMES FROM (EST.)

Per-order losses 67%	Installs 33%

₹81 Cr a quarter (28% of food delivery's adj. EBITDA); cutting installs alone stops a third

Board asked	Our answer	Slide
Unit economics	−₹27.3 per ₹99 order; ₹40 rider on ₹23 of revenue	3
Levers	7 levers, −₹27.3 to +₹5.7; 3 are Swiggy's switches	5
Funnel vs CAC	Needs 135% migration in 12 months; 9.0x paid CAC	6
Eternal's reply	Holds back now; copies pickup points once Drops pay	8
Mind-changers	Trip over ₹42, runs under 6, trade-down over 26%	9

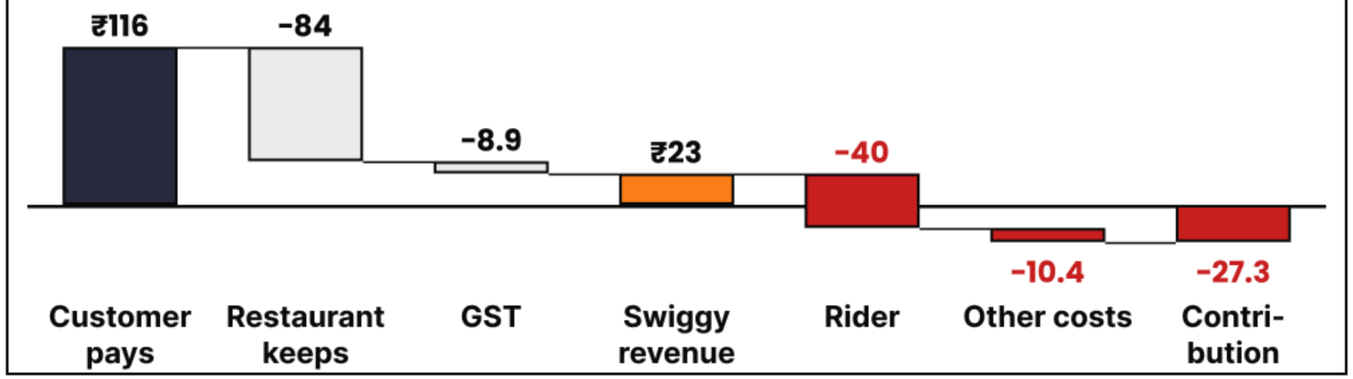
SO WHAT **First 30 days:** a door fee outside Drops, slot batching, fewer coupons and a freeze on paid installs; sign 40 pilot Drop sites in four cities

Source: NSBC case (C01 to C14) | Swiggy Q1 FY27 shareholder letter (Jul 2026) | MediaNama (Sep 2025; Aug 2026) | Storyboard18 citing CLSA and Sensor Tower (Sep 2026) | Team IdeaForge model and research document (appendix)

B1 · UNIT ECONOMICS OF A TOING ORDER TODAY

A ₹99 Toing order loses about ₹27.3 before marketing, because a ₹40 rider trip sits on ₹23 of Swiggy revenue; a ₹700 order clears ₹22 of EBITDA on the same trip

WHERE THE CUSTOMER'S ₹116 GOES, AND WHAT SWIGGY KEEPS (₹ PER ORDER)



₹99 TOING ORDER VS ₹700 CORE ORDER

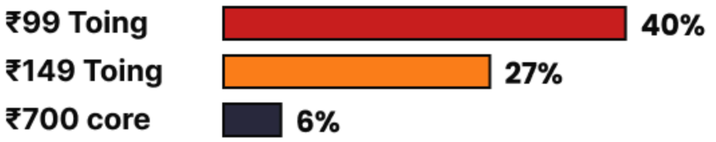
Per order, ₹	Toing ₹99	Core ₹700
Swiggy revenue	23.0	166.3
Rider pay	−40.0	−42.0
Other variable costs	−10.4	−71.1
Contribution	−27.3	+53.2
Overheads (core)	n/a	−31.5
Adj. EBITDA	below −27.3	+21.7 (3.1%)
Rider as % of basket	40%	6%

FORMULA Contribution per order = commission + platform fee net of GST + ads − rider pay − insurance − CoSS − payments − support and refunds − coupons − tech

WHO KEEPS THE ₹116

- Restaurant ₹84 (72%)
- GST ₹8.9 (8%)
- Swiggy ₹23 (20%)

RIDER PAY AS A SHARE OF THE BASKET



CHECK AGAINST SWIGGY'S BOOKS

Platform Innovations lost ₹131 Cr in Q1 FY27. Toing's share (est.): ₹81 Cr from ~2.4 lakh orders a day: ₹55 Cr per-order losses + ₹26 Cr installs

SO WHAT **A ₹99 order needs a fuller trip, not a cheaper rider:** at ₹40 a trip the rider alone takes 40% of the basket, so the fix must change how many meals ride together

Source: NSBC case (C01, C04 to C07) | Swiggy Q1 FY27 letter (food CM 7.6% of GOV, segment results) | MediaNama (Sep 2025): ₹12 platform fee, no delivery or packaging fee | Inc42 and Angel One (Sep 2025): 18% GST on delivery under sec 9(5) | Assumptions A01 to A14 (appendix)

THE UNDER-₹150 CUSTOMER, FROM PUBLIC DATA

Toing found a real under-₹150 customer, 33 million weekly users in a year, and every low-basket model that survived did it by moving the trip cost off the order

DEMAND IS REAL: TOING IN YEAR ONE

33M
weekly users, Aug 2026

14.5M
downloads in a quarter

~50
cities by Q1 FY27

2 in 3
new users new or dormant

WHO LASTED AT LOW BASKET VALUES, AND HOW THEY PAID FOR THE TRIP

Model	How the trip was paid for	Outcome
Snacc (Swiggy)	A solo trip per snack, micro-kitchens	Shut within a year
Zomato Everyday, Quick	A solo trip per ₹89 meal or 15-min order	Both shut May 2025
Dunzo 60-min tier	Batched orders in a slower window	Saved ₹8 to ₹10 an order
Instamart	Denser stores: ₹5 an order from density	CM breakeven May 2026
Rapido Ownly	Customer pays ₹30 a trip, 0% commission	60k orders a day, BLR
Zomato Now pods	Office pickup pods, no doorstep trip	Pilot, Gurugram

PUBLIC EVIDENCE

SAME TWO ITEMS, TWO APPS (SEP 2025)

29% cheaper: lower fee, no packaging or rain fee

WHO TOING REACHES (SWIGGY, Q1 FY27)

1 in 3 new Toing users was already active on Swiggy, so a price fence matters

DOWNLOADS IN THE QUARTER (M)

Zomato still has more daily users

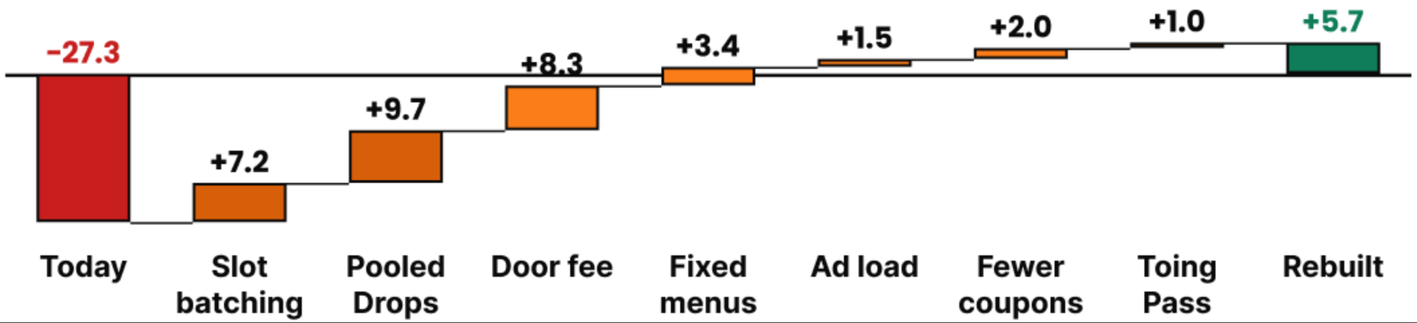
SO WHAT **The seed of our answer:** the models that lasted made the trip cheaper or made the customer pay for it; the ones that closed paid a full trip for a small basket

Source: Storyboard18 citing CLSA and Sensor Tower (Sep 2026) | Swiggy Q1 FY27 letter | Entrackr and MediaNama on Snacc (Feb 2026) | Case C11 | MediaNama on Ownly (Mar 2026) | Business Today (Jul 2026) | IIFL (Aug 2022) | MediaNama bill comparison (Sep 2025)

B2 · LEVERS THAT CHANGE THE ARITHMETIC

Seven levers take a ₹99 order from −₹27.3 to +₹5.7; pooled Drops and slot batching need dense orders, and three ask the customer to give something up

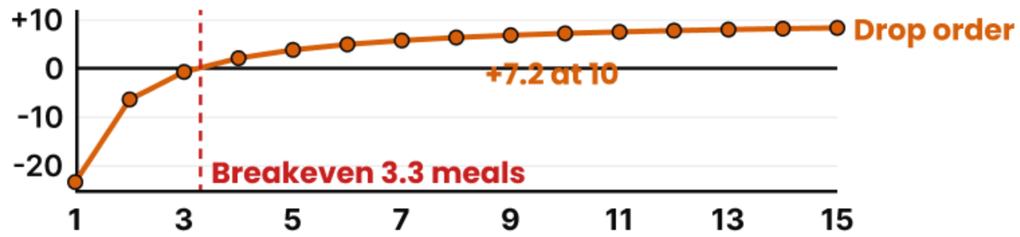
LEVER BRIDGE: CONTRIBUTION PER ₹99 ORDER, ₹ (BLENDED MIX, BASE)



WHO CONTROLS EACH LEVER, AND AT WHAT COST

Lever	₹/order	Owner	CX cost	Density
Slot batching	+7.2	Swiggy	Wait	Some
Pooled Drops	+9.7	Mixed	Walk	Yes
Door fee	+8.3	Cust.	Pays	No
Fixed menus	+3.4	Rest.	Choice	No
Ad load	+1.5	Rest.	None	No
Fewer coupons	+2.0	Mixed	Coupons	No
Toing Pass	+1.0	Cust.	None	No

THE DENSITY CURVE: ₹ PER DROP ORDER BY MEALS PER RUN



RIDERS EARN MORE AN HOUR

13 meals an hour vs 2 at ₹9.4 a meal

FORMULA

Rider cost per meal = trip pay × (1 + 0.15 × (n − 1)) ÷ n. At n = 10: ₹40 × 2.35 ÷ 10 = ₹9.4, plus a ₹4 Drop host fee. Breakeven at 3.3 meals a run.

SO WHAT

Swiggy can switch on three levers itself this month. The two that need density decide where Toing lives: a Drop run must carry at least 4 meals, and 10 earns +₹7.2 a meal

Source: Team IdeaForge model (A17 to A26) | Swiggy Q1 FY27 letter (Instamart: ₹5 an order from densification) | IIFL (Aug 2022): Dunzo batching saved ₹8 to ₹10 an order | MediaNama (Mar 2026): Ownly ₹30 trip fee | Rider pay: base ₹20 to ₹35 per order plus distance (2026 partner guides)

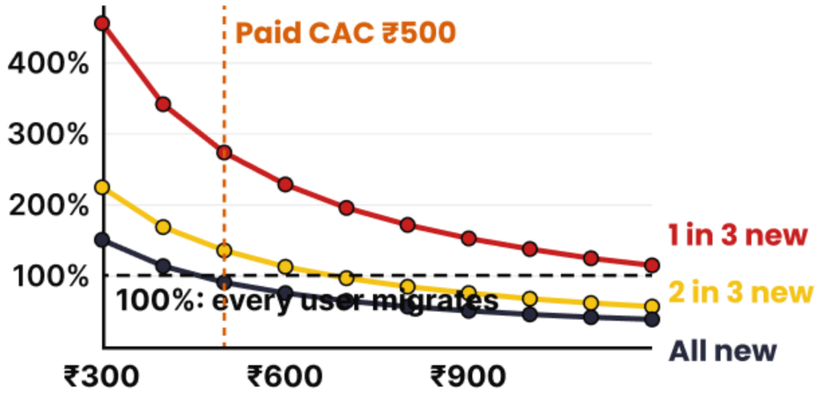
B3 · SCALE, FUNNEL OR KILL: THE SAME FIVE TESTS

Scaling Toing as it runs costs ₹1,744 Cr over three years, and the funnel beats paid marketing only if 135% of users migrate within a year; Kill is cheap but ends at zero

3-YEAR RESULT BY PATH, ₹ CR (BASE)

Bear to bull: Scale −1,794 to −1,673; Funnel −1,204 to −1,065; Kill −40; Rebuild −121 to +135

THE FUNNEL TEST: MIGRATION NEEDED WITHIN 12 MONTHS



Per Toing user	Base
Loss a month	₹68
Cost of a user, 1 yr	₹451
Needed, CAC lens	135%
Needed, LTV lens	25%
Likely (A31)	15%
Per incremental user	₹4,485
x paid CAC	9.0x

FIVE TESTS, SCORED 1 TO 5 (5 = BEST FOR SWIGGY)

Path	Value	Downside	Customer	Fence	Speed	Score
Scale as it runs	1	1	5	2	4	2.25
Funnel	2	2	4	2	5	2.70
Kill	4	5	1	5	5	3.85
Rebuild (ours)	5	4	4	4	3	4.25

WEIGHTS Score = 0.35 × value + 0.20 × downside + 0.20 × customer + 0.15 × fence + 0.10 × speed

Conclusively: Swiggy should stop paying for ₹99 trips. Scale and Funnel fail on value; Kill passes on value but gives up the customer and the Drops option

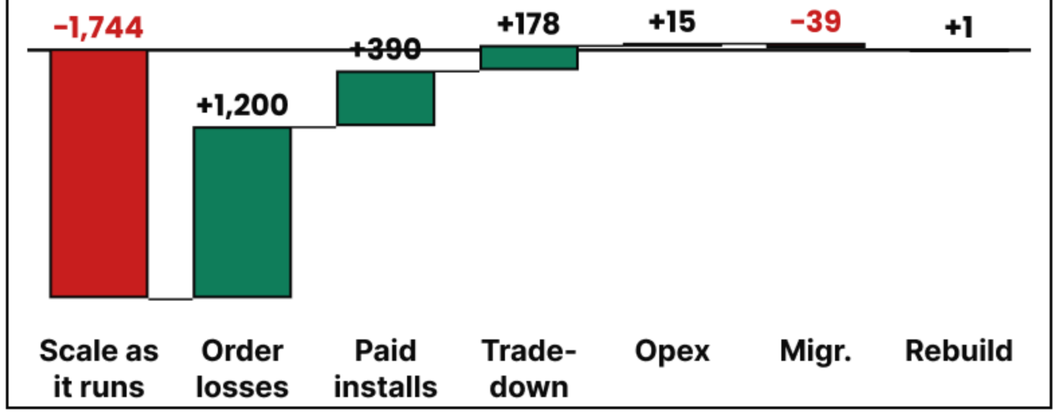
SO WHAT **The funnel loses by construction:** even if every Toing user were new to Swiggy, 90% would need to become ₹700-type customers within a year to beat ₹500 of paid marketing

Source: Team IdeaForge model: paths, funnel and scoring (A27 to A42) | Swiggy Q1 FY27 letter (2 in 3 new Toing users new or dormant; food CM 7.6%) | Paid CAC range ₹400 to ₹900 from analyst estimates, tested across the full range | AISHE (graduation cadence, A31)

THE RECOMMENDATION: REBUILD TOING AROUND THE TRIP

Rebuilding Toing around the trip is worth ₹1,745 Cr over three years against scaling it as it runs, and still beats a shutdown by ₹41 Cr while keeping the customer

3-YEAR RESULT, SCALE AS IT RUNS TO REBUILD (₹ CR, BASE)



THE NUMBER THAT DECIDES IT

₹1,745 Cr

Three-year gain from rebuilding Toing around the trip instead of scaling it as it runs

Bear ₹1,552 Cr, bull ₹1,929 Cr. Against Kill: +₹41 Cr base, +₹44 Cr with the 6-month gate

Toing

Lunch Drop, 1 PM
Hostel B gate
Order by 12:15

₹99, no fee

Door +₹20

+₹7.2
Drop order

+₹4.3
door order

+₹5.7
blended

3.3
break-even run

1 Order to a slot
Lunch or dinner window, order 45 min ahead

→

2 Cook to the slot
Fixed menus at kitchen partners

→

3 One run, 10 meals
One rider, one 45-minute run

→

4 Pick up at a Drop
Hostel gate, PG lobby, office desk

→

5 Door, for a fee
₹20 outside Drops, batched in pairs

ON THE RECORD

"Somebody has to pay." Rohit Kapoor, CEO Food Marketplace, Swiggy, on zero commission (Aug 2026). **Lower prices "funded by lower commissions and delivery fees" make "the revenue gap even more unsustainable."** Deepinder Goyal, Eternal (Aug 2026)

SO WHAT

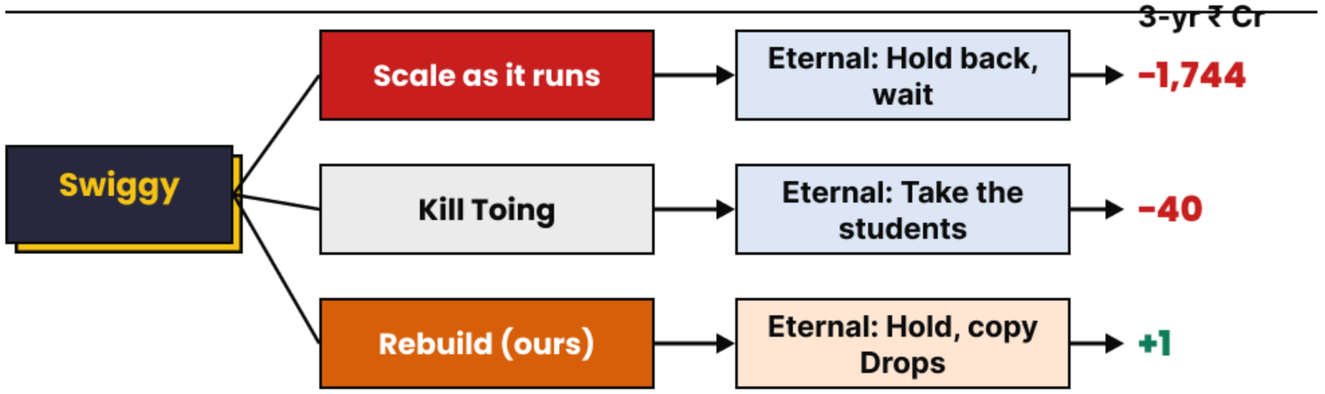
Keep Toing a separate app: one in three new Toing users was already active on Swiggy, and a separate price point is the fence that keeps ₹700 orders at ₹700

Source: Team IdeaForge model: path decomposition (A37 to A42) | Swiggy Q1 FY27 letter | MediaNama (Aug 2026): Swiggy Q1 FY27 earnings call, remarks of Rohit Kapoor | MediaNama (Aug 2026): Eternal and Zomato Now, remarks of Deepinder Goyal

B4 · THE COMPETITIVE AND REGULATORY READING

Eternal's best reply is to hold back while Toing burns cash and copy the pickup idea once it pays; Rapido Ownly is the sharper threat, and regulation adds only ₹0.8 an order

GAME TREE: SWIGGY'S MOVE, ETERNAL'S BEST REPLY



WHO ELSE IS AT ₹150 AND BELOW

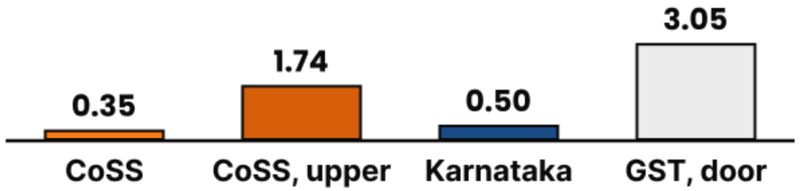
Player	Model	Pays	Scale
Toing	Cut commission	₹12 fee	33M wk
Rapido Ownly	0% commission	₹30 trip	60k/day
Zomato Bistro	Owned kitchens	Gold ₹99	n/d
Zomato Now	Office pods	Pod pickup	Pilot
99 Store	Flat price in app	Core fees	n/d

Read: only Ownly and Zomato Now also attack the trip cost, which is our lever

ETERNAL REPLY PAYOFFS (5 = BEST FOR US)

Swiggy move	Hold back	Race	Copy Drops
Scale	3	2	4
Kill	4	3	3
Rebuild	5	4	3

REGULATORY COST PER ORDER, ₹ (TOING ₹99)



Regulation is **0.85% of a ₹99 basket** against **0.37% of ₹700.** Real, and far smaller than the ₹27 trip loss.

Pune (Maharashtra) rules: open item. The case names Karnataka only.

SO WHAT **The scarce asset is the pickup point:** Eternal holds back today, so lock hostel, PG and office sites first; the ₹20 door fee already prices the trip that Ownly charges ₹30 for

Source: MediaNama (Aug 2026): Eternal and Zomato Now, Swiggy Q1 FY27 call | Storyboard18 (Sep 2026) | MediaNama and Business Today (2026): Rapido Ownly | Deccan Herald (2026): Karnataka fee | Inc42 (Sep 2025): GST on delivery | Case C10 to C13 | Team IdeaForge model and judgment (payoffs are ordinal)

B5 · WHAT WOULD CHANGE OUR MIND

Three numbers would flip our call to a shutdown, and Swiggy sees each within 90 to 180 days: solo trip cost above ₹42, Drop runs under 5.5 meals, or trade-down above 26%

FLIP 1

₹42

Solo trip cost

assumed ₹40; seen in the payout ledger by day 90

Dashed line = flip value

FLIP 2

5.5

Meals per Drop run

assumed 10; seen in dispatch logs by day 90

Dashed line = flip value

FLIP 3

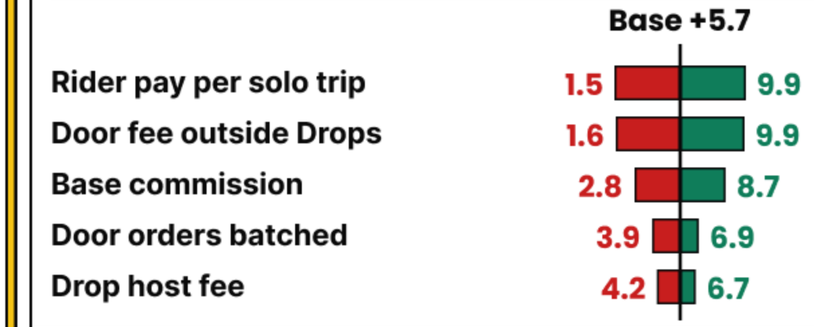
26%

Trade-down share

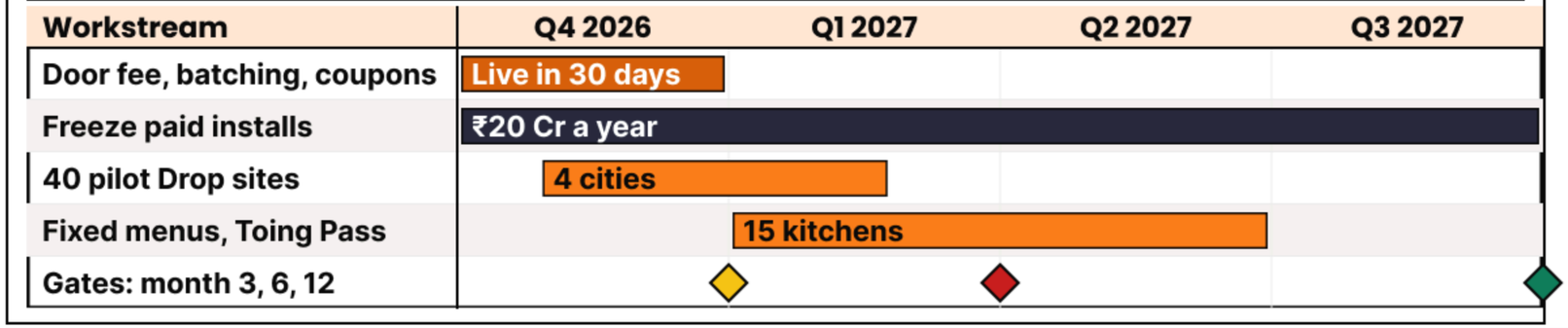
assumed 20%; seen in a core-app holdout by day 180

Dashed line = flip value

WHAT MOVES BLENDED CONTRIBUTION (₹/ORDER)



12-MONTH ROADMAP (OCT 2026 TO SEP 2027)



GATE SCORECARD

Metric	M3	M6	M12
Meals per run	4	6	8
Contrib. ₹	−10	−5	+3
Trade-down	n/a	20%	20%
Lakh/day	1.8	2.2	2.8

Miss at M6: shutdown review; default is shut

SO WHAT **Therefore:** keep Toing, stop paying for ₹99 trips, and let the month-6 gate decide. Rebuild is worth ₹1,745 Cr over scaling it as it runs and +₹41 Cr over a shutdown

Source: Team IdeaForge model: flip points by bisection, tornado on blended contribution (A17 to A44) | Swiggy Q1 FY27 letter (contribution and EBITDA definitions) | Gates are set slightly inside the flip points so a miss triggers action before value is lost

APPENDIX: ASSUMPTIONS, METHOD, MODEL AND SOURCES

Every number in this deck traces to the case, a cited public source or our model; the recommendation beats Scale and Funnel in all 45 stress-test cells

TEN LOAD-BEARING ASSUMPTIONS

ID	Assumption	Value	Basis
A05	Rider pay, solo trip	₹40	Case C01; ₹20 to ₹35 base
A02	Toing commission	12%	Core 17 to 25%; Swiggy says lower
A03	Customer fees	₹12	Toing ₹12 platform fee (bill)
A17	Orders at Drops	50%	Tested 20% to 80%
A21	Meals per Drop run	10	Breakeven 3.3; flip 5.5
A24	Door fee outside Drops	₹20	Ownly charges ₹30
A28	New or dormant users	67%	Swiggy: 2 in 3
A27	Paid CAC	₹500	Range ₹400 to ₹1,200 tested
A35	Trade-down share	20%	Halved by the fence
A31	12-month migration	15%	Graduation bound

EVIDENCE BASE AND ITS LIMITS

Public data only: Swiggy's Q1 FY27 letter read in full, plus 14 dated press and filing sources; no fieldwork was run

Behaviour we could not observe (Drop take-up, trade-down, migration) is an assumption, tested across its full range

How Swiggy validates in 90 days: a 4-city A/B of the door fee and Drops, plus a core-app holdout

STRESS TESTS: REBUILD VS OTHERS

Input varied	Range	Wins
Rider pay	₹32 to ₹48	5/5
Commission	8% to 18%	5/5
Trade-down	0% to 40%	5/5

45 of 45 cells favour Rebuild

DATA CONFLICTS AND HOW WE RESOLVED THEM

Topic	Resolution
Core AOV	Case ₹700 used; tested at ₹500
Toing scale	Case framing; 50 cities cited
Loss split	Estimate, grid in doc §6
CAC	₹400 to ₹1,200 tested

SOURCES

1. Swiggy Q1 FY27 shareholder letter (Jul 2026)
2. MediaNama: Toing bill (Sep 2025); Swiggy call (Aug 2026)
3. Storyboard18 citing CLSA, Sensor Tower (Sep 2026)
4. MediaNama: Eternal and Zomato Now (Aug 2026)
5. Entrackr: Snacc shut (Feb 2026)
6. MediaNama, Business Today: Rapido Ownly (2026)
7. Deccan Herald: Karnataka fee (2026); Inc42: GST (2025)
8. IIFL: Dunzo batching (2022); Morwitz et al. (2007)

SO WHAT **The research document holds the register:** 44 assumptions, 11 model tables, 20 judge questions and a 15-source bibliography sit behind this page

Source: Team IdeaForge model (toing_model.py, 44 assumptions A01 to A44) | Swiggy Q1 FY27 letter | full research document (72 pages) holds the register, tables and bibliography

THANK YOU

Keep Toing, stop paying for ₹99 trips, and let the month-6 gate decide.

TEAM IDEAFORGE

Team Members	Institution	Role
Harsh Kawatra	Delhi Technological University	Team Leader
Gursimran Kaur	Guru Gobind Singh Indraprastha University	Member
Dayita Arora	Ramjas College, University of Delhi	Member

Questions are welcome on any number in this deck. Every figure traces to the case, a cited public source, or our model, listed in the appendix.